

Transforming India's Shipbuilding Industry



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A Visionary Journey Towards Global Leadership

> India's rich shipbuilding legacy is being revived with strategic reforms and global partnerships. Under the leadership of Hon'ble PM Narendra Modi, we are creating a competitive, self-reliant shipbuilding ecosystem. With financial support, skilled manpower, and modern infrastructure, India is set to become a global leader in ship construction and repair

Highlighting the significance of giving infrastructure status to large ships, PM Modi said, Due to infrastructure status, the construction of big ships in India will be encouraged, the Atmanirbhar Bharat Abhiyan will get momentum and we all know that ship building is the sector that provides the most employment.

A Maritime Legacy Rekindled

For centuries, India has been a land of maritime excellence, with a rich legacy of shipbuilding and naval innovation. From the ancient dockyards of Lothal—one of the world's earliest known ports—to the mighty fleets of the Chola Empire that dominated Southeast Asian waters, Indian shipbuilders crafted vessels that sailed across global trade routes, linking civilizations and fostering economic prosperity. However, with the advent of colonial rule and changing geopolitical dynamics, India's shipbuilding industry gradually declined, giving way to international competitors.

This trajectory began to shift in 2014, under the visionary leadership of Hon'ble Prime Minister Narendra Modi. Recognizing shipbuilding as a key pillar of India's Blue Economy, the government has undertaken bold reforms to revitalize the sector, positioning India as a global powerhouse in ship construction and repair. The government rolled out the Shipbuilding Financial Assistance Policy in 2016 to address the cost disadvantages faced by Indian Shipbuilders vis-à-vis other leading nations such as South Korea, China, etc. Today, India is among the top emerging shipbuilding nations, with world-class shipyards like Cochin Shipyard, Hindustan Shipyard, and Goa Shipyard leading the way in constructing cutting-edge vessels, including indigenous warships, commercial vessels, and green shipping solutions.

Shipbuilding: A Key Contributor to India's Economic Future

As India aspires to become a USD 32 trillion economy by 2047, the shipbuilding sector will play a crucial role in enhancing maritime infrastructure, boosting employment, and strengthening India's position in global trade. The Ministry of Ports, Shipping, and Waterways (MoPSW), under the leadership of Sh. Sarbananda Sonowal, is spearheading transformative initiatives, such as the Shipbuilding Financial Assistance Policy 2.0, Maritime Development Fund (MDF), and support for Shipbuilding Clusters, to create a globally competitive and self-reliant shipbuilding ecosystem.

Union Budget 2025: A Strong Push for Shipbuilding

The Union Budget 2025 has laid a strong foundation for the growth of India's shipbuilding ecosystem through key initiatives. The revamped Shipbuilding Financial Assistance Policy (SBFAP 2.0) with a significantly increased corpus will provide financial aid to Indian shipyards, making them more competitive globally. The newly introduced Shipbreaking Credit Note Scheme will offer credit notes on the scrap value of decommissioned ships, which can be used to purchase new ships from Indian yards. This move will promote ship recycling and encourage investments in new ship construction. To further develop the sector, the government will facilitate the establishment of new shipbuilding clusters, which will receive direct capital support for